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Free competition, come hell or high water? How neoliberalism prevailed and why Finland allowed peat to decline in the midst of an energy crisis

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ABSTRACT

Can advocates of fossil energy technologies in decline invoke energy security to influence energy politics? This article investigates how supporters of Finland's declining peat industry *failed* to do so, despite a window of opportunity presented by an energy crisis, Finland's dependency on imported Russian energy, and the abrupt end of these imports following Russia's invasion of Ukraine. By focusing on a case where invoking energy security has failed, it sheds light on the conditions that limit the political effects of energy security discourse, which has remained undertheorized in the literature. Using discursive policy analysis, the article analyses 22 expert interviews and 33 policy documents. It shows that neoliberal ideas about how to organize state-market relations can limit the political effects of energy security discourse, even when incumbent interests advocate for a domestic source of energy in times of war and energy crisis. In this case, neoliberalism made the peat decline and the fuel shortage appear as a “market problem” that did not warrant state intervention. The article uses insights from the Finnish case to theorize about the wider implications of how neoliberalism, energy security discourse, and energy crises interact, and how this affects the political influence of established energy interests. It suggests a research agenda on how neoliberalism affect energy transitions and energy politics, and argues that while neoliberalism can work against fossil industries in decline, it also risks impeding transitions to truly sustainable alternatives.

1. Introduction

Fossil energy technologies have often been framed as the only options cost-efficient and scalable enough to provide the abundance of cheap energy that is necessary for national competitiveness and prosperity [1,2]. Such narratives have been effective for influencing energy policy and securing favourable conditions for incumbent fossil technologies [3]. But recent years have seen these technologies starting to decline economically because of climate policies and competition from increasingly affordable renewables. Technologies that struggle to compete are of course hard to portray as vital for national competitiveness, so when faced with economic decline, incumbent industries and their supporters have to turn to other strategies to maintain their influence over energy policy [4].

One way for incumbent industries to respond to economic decline is to portray their technologies as necessary for energy security. Energy supply is a core state interest [5] and a prerequisite for “almost all areas of modern human activity” [6]. This suggests that if fossil interests manage to represent their technologies as necessary for maintaining energy security, then this would be an effective way of influencing

energy politics to improve market conditions. Particularly, of course, in times of war and energy crisis.

Yet, while the last decade has seen a proliferation of studies on *energy discourse* and its political effects [7,8], few of these have focused on *energy security* (but see [9]). Inversely, most research on energy security has focused on defining energy security [10], and developing indicators to measure it [11], thus leaving questions of power and discourse unanswered. However, as Chester [12] points out, energy security is a notoriously slippery and ambiguous concept. This calls for research that approaches energy security as a contested discursive construct rather than as an objective phenomenon, and for studies on how energy security is invoked to shape politics. As Jewell and Brutschin [13; p.19] put it, “there is far too little research which documents how actors use energy security to advance their own agendas at the national level”.

The few studies that do exist have tended to focus on cases where energy security discourse has led to policy change (e.g. [14]), and showed that energy crises can result in increased support for incumbent technologies [15], particularly if these technologies are perceived as domestic and the external environment as threatening or uncertain [16]. Much less has been written about cases where energy security discourse

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has *failed* to influence policy (but see [17]), particularly in times of energy crises and external threats. Thus, the conditions that *limit* the effects of energy security discourse on politics remains undertheorized in the literature.

To shed light on these conditions, this article turns to the case of Finland's peat decline. There, a domestic source of energy was allowed to decline despite a fuel shortage, Finland's dependency on imported Russian energy, and the abrupt end of these imports following Russia's invasion of Ukraine. The article shows that neoliberal ideas about how to organize state-market relations can limit the political effects of energy security discourse, even when established energy interests advocate for a domestic source of energy in times of war and crisis. In this case, neoliberalism made the peat decline and the fuel shortage appear as a "market problem" that did not warrant state intervention. Finally, the article suggests a research agenda on how neoliberalism affect energy transitions and politics, and argues that while neoliberalism can work against fossil industries, it also risks impeding transitions to truly sustainable alternatives.

To uncover the conditions that limit the political effects of energy security discourse, the article explains *why peat was allowed to decline despite the fuel shortage, the energy crisis, and the war*. To do so, it draws on Carol Bacchi's [18] approach to policy analysis. This approach stipulates that discourse shapes policy by defining the "problem" that policies are supposed to solve, thereby legitimizing certain measures while ruling out other courses of action. Thus, the article asks how the peat decline and the fuel shortage was represented as a problem in Finnish energy policy discourse in the aftermath of the energy crisis and the war, what the conditions and historical developments were that enabled this way of representing the problem, and how this affected policy.

Since energy politics are characterized by expert and elite governance [19], particularly in Finland [20,21], the article focuses on the discourse of an energy policy elite consisting of key decision makers and experts. The next section presents a background on energy peat in Finland. It is followed by a section on theory and a methods and material section. The remaining sections consist of the empirical analysis and a concluding discussion.

2. Background

Finland's energy consumption per capita is among the highest in the EU due to its cold climate, large area, and energy intensive industry. Total primary consumption was around 377 TWh in 2021 and energy sources are diverse, but wood fuels, oil, and nuclear energy dominates, together providing over two thirds of total consumption [22]. Peat is one of few domestic energy sources, a semi-fossil and carbon intensive fuel that became part of a national narrative about modernization and independence after the Second World War [23]. Peat combustion increased after the oil crises in the 1970s and peaked in the 2000s (see Fig. 1). It is typically co-fired with wood fuels in large CHP plants and in smaller heat-only boilers, and the largest peat producer is the state-owned company Neova. Peat extraction became a contentious issue already in the 1960s due to local environmental impacts [24]. As climate awareness increased, peat became problematized in terms of its considerable carbon emissions [23]. As a result, the coalition government that took office in 2019, led by Sanna Marin of the Social Democratic Party, stated that the energy use of peat should be at least halved by 2030.

This target became irrelevant quickly, however, as peat started to decline much faster anyway due to rapidly increasing allowance prices in the EU ETS¹ which made peat combustion expensive [25]. Demand plummeted and peat consumption fell rapidly, as illustrated by Fig. 1.

Large peat producers foresaw this decline and turned to other

products such as horticultural and bedding peat, and many large energy companies invested in heat pumps and boilers that can fire biomass without peat. But smaller municipal companies struggle with these investments and many individual peat contractors have lost both livelihoods and savings.

Finland imported much of its energy from Russia before the invasion of Ukraine – a remarkable 34 % of total energy consumption in 2021 [26].² But one year after the war broke out, almost all imports had ceased. The end of the wood fuel supply was particularly important for peat policy, as both fuels are used for heating and highly substitutable. Together with the peat decline, this resulted in a fuel shortage of up to 5.7 TWh in 2023 according to one report [27]. As in the rest of Europe, the war compounded an ongoing energy crisis caused by tight global energy markets in the wake of Covid-19. Heating and electricity prices soared, energy companies started looking for alternatives, and the logic of phasing out a domestic fuel in times of trouble was questioned (e.g. [28]). Suddenly, the transition away from peat looked a lot more uncertain.

2.1. Finland's peat policy mix

Peat is not taxed like other heating fuels in Finland, but subject to an excise tax. This tax was raised from 3€/MWh to 5.7€/MWh in 2021, to reflect tax increases on other fuels [29]. There were two other changes in 2021 as well. First, there is a threshold under which peat is not taxed that was expanded from 5000 MWh to 10,000 MWh between 2022 and 2026, and to 8000 MWh 2027–2029 [29]. Second, a floor price mechanism was introduced which would raise the tax automatically if ETS prices should fall below 21.20 €/t. Moreover, a reimbursement for scrapping peat extraction machinery was implemented in early 2022 to support peat contractors, but ran out of funds quickly.

In response to Russia's invasion of Ukraine, Finland's National Emergency Supply Agency (NESA) was tasked with stockpiling peat amounting to "approximately 20–30% of the estimated need for fuel peat in the next heating season" [30]. According to interviews, this meant about 2–3 TWh in 2023. As the stockpile is not renewed annually, this is far from enough to affect the general direction of the peat decline. NESA did not stockpile peat before the war but organized a system in which private companies were compensated for doing so, and that system was continued as well.

3. Theory

3.1. Analysing problem representations

This article draws on the WPR (What's the problem represented to be?) approach, developed by political scientist Carol Bacchi [18], and inspired by Foucault [31,32], which highlights the connection between discourse and policy. The point of departure is that policies are legitimized through the discursive construction of the problems that they are supposed to solve. These problems are seen as contingent representations that are subject to contestation and change. Problems can be represented in different ways, and the ways in which they are represented have implications for how the issue in question is understood and governed [18]. Despite this, problem representations tend to be taken for granted. Analysing problem representations is therefore linked to a critical ambition. By showing their contingency and uncovering the underlying assumptions and rationalities that they draw upon and reproduce, the approach can help us understand how power is exercised and why some policies are legitimized while others are ruled out.

Problem representations tend to both rely on and reproduce *governmental rationalities*, which are *ways of reasoning* that draw upon some form of knowledge (e.g. scientific, religious, ideological) in order

¹ The ETS (Emissions Trading System) is a market-based EU policy that puts a price on carbon emissions in many sectors.

² Mainly oil, nuclear fuels, natural gas, wood fuels, coal, and electricity.

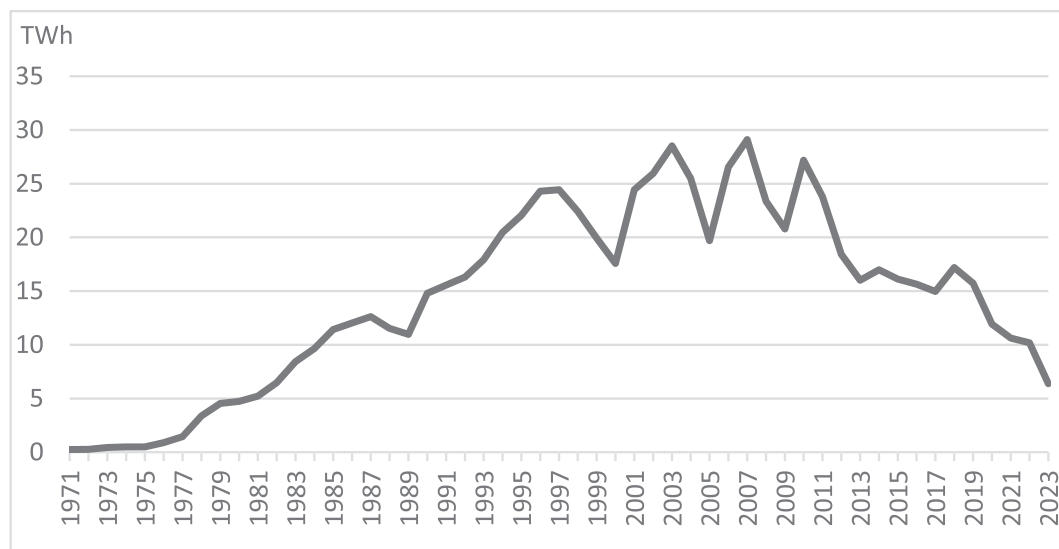


Fig. 1. Total consumption of energy peat in Finland. Source: Statistics Finland [22]. The value for 2023 is based on preliminary data.

to justify particular ways of representing problems [33; p.43]. Rationalities span across different topics and contexts. They do not alone determine how an issue is problematized, but act as important conditions that enable or constrain it.

3.2. Neoliberal rationality of government

During the data collection and analysis, it became clear that there were several parallels to be drawn between the empirical material and the literature on the *neoliberal rationality of government*, and that this literature offered an opportunity to identify important patterns in the material and reason about the wider implications of the findings. Neoliberalism can be defined in different ways, but this literature (e.g. [34–36]) has followed Foucault [32; p.118] in defining it as a rationality that elevates *competition* to a guiding principle not only for the market, but for all of society. Competition is not only fair according to this rationality, but also the most efficient way of allocating resources. Competition is also believed to incentivize innovation and efficiency, thus furthering growth and progress to the benefit of society [36; p.63].

From the neoliberal point of view, government and free competition are seen as dichotomous in the sense that more of one implies less of the other. Extending the reach of the market is believed to reduce red tape and costly bureaucracy, while extending government entails an (illegitimate) infringement on the market. This state-market dichotomy does not necessarily hold empirically [37,38]. On the contrary, upholding free competition requires state regulation, monitoring, and intervention – a specific form of government, rather than less of it [34; p.17]. Nevertheless, a core tenet of neoliberalism, at least in theory, is that states should avoid interfering with markets unless exceptional circumstances call for it.

Neoliberal rationality does not only prescribe what states should *refrain* from doing, but also what they *should* do. States have to facilitate and uphold free competition, e.g. by safeguarding property rights and protecting competition from distortion [39]. Moreover, there are cases where the market fails because there are *external costs* associated with an activity – costs that fall upon society rather than on the one who cause them. This distorts the signals on the market and incentivizes the costly activity. The prime example is emissions from energy production and industries. In those cases, the state needs to set the signals right again so that the social cost of producing a commodity is reflected in its price, if possible by “market-based” solutions that establish new markets [40].

4. Methods and material

The problem representations that underlie policies are rarely produced by state actors in isolation, but tend to be intertwined with expert knowledge produced in multiple settings [33; p.5]. Thus, the empirical material consists of interviews with 22 key experts and decision makers from a broad selection of organizations that are central to Finnish energy governance (see Appendix A). The organizations were selected to cover the most important knowledge producing organizations in Finnish peat governance. They include Ministries, state agencies, business organizations, consultancies, NGO:s, academia, regional organizations, energy companies, unions, and peat companies. All interviewees filled key positions as directors or senior experts. They were selected strategically to reflect the expert knowledge and the formal positions that their organizations hold – not in order to make a representative selection of a larger population, but to capture the discourse of an exclusive group with privileged access to the production of policy-relevant knowledge. The interviews revolved around their roles as professionals and organizational representatives rather than their personal views. The interviews were carried out between February 2022 and January 2024, and were recorded and transcribed in full.

In addition to the interviews, 33 policy documents were analysed (see reference list and Appendix B). They were selected either because they are central to Finnish energy governance, or because interviewees referred to them. They complement the interviews by capturing the political and party discourse well, since they include programs and strategies from both governments during the period, as well as the political parties.³

The empirical analysis was structured around six analytical questions. They were originally proposed by Bacchi [20], but have been modified for the purpose of this study:

1. How was the peat decline and the fuel shortage represented as a problem in light of the energy crisis and the war?
2. What assumptions and rationalities underlied this problem representation?

³ Many documents were available in my native Swedish (a minority language in Finland) or English. Others were translated using the ai-based service [Deepl.com](#). Nuances are inevitably lost in translation, but as the analysis was concerned with broader meaning rather than the (e.g. rhetoric) form of its expression, they could be used as a supplementary material.

3. How has this representation of the problem come about?
4. What conditions made it possible to produce and disseminate this particular problem representation?
5. What alternative ways of representing problems were side-lined?
6. How did this representation of the “problem” affect policy? Which measures appeared as legitimate, and which were ruled out?

Question 1 is only the starting point of the analysis, and answering it was a fairly straightforward inductive exercise of identifying how problems were represented in the material. Question 2 delves deeper into the deep-seated assumptions and rationalities that underlie these representations. A large number of coding categories were generated inductively and later grouped into three sets of assumptions. This was an iterative process of reading and going back and forth between coding categories and the material. Questions 3 and 4 inquire into the conditions and historical events that enable (and constrain) problem representations, and they were answered both through the empirical material (e.g. interviewees pointing out conditions and historical developments) and by consulting previous research. Question 5 highlights critical voices, and two alternative problem representations were identified. Question 6 tied the analysis together by inviting reflection on how the dominant problem representation made certain policies appear as legitimate, while others were ruled out.

Like any method, the WPR approach has its limitations. Compared to e.g. Hajer's [41] Argumentative Discourse Analysis, it pays little attention to how and why different actors come together in (discursive) coalitions. Neither does it offer the detailed linguistic analysis provided by e.g. Critical Discourse Analysis. But the WPR approach does highlight the conditions that enable particular problem representations and policies [42], which is key to answering why peat was allowed to decline.

Another limitation of the study is that it follows a strategy of “studying up” or focusing on elites [43; p.8]. Thus, it does not highlight how the peat decline is experienced in local communities or by peat workers. This choice reflects the research question, which focuses on energy security issues that are handled by elites at the national level, but it is important to recognize that the peat decline is just as much a social and justice issue as one of energy security. These topics are, however, excellently covered by [23,44,45].

Finally, this article focuses on a single case. Single case studies are useful for in-depth, context-sensitive exploration and theoretical development, but their findings are not directly transferable to other contexts [46]. The aim is therefore not to produce broad generalizations but to explore the conditions that limit energy security discourse in depth, and – based on that exploration – to facilitate a broader understanding by making theoretical propositions and identifying themes for further research.

5. Results: the peat decline and the fuel shortage as a “market problem”

The dominant way of problematizing the peat decline and the fuel shortage was to frame it as a “market problem” that should be left to the market and energy companies to resolve rather than as an acute problem that required state intervention, despite the war and the energy crisis. This called for maintaining the current policy mix and letting the energy market handle the situation without state interference, except for NESAs stockpile. Further measures would constitute a break with the key principles of free competition and technological neutrality. This problem representation underlied and legitimized Finland's peat policy. It was reiterated by interviewees from powerful organizations such as the Ministry of Economic Affairs and Employment, Finnish Energy, and the Confederation of Finnish Enterprise, and echoed in central policy documents. Moreover, even interviewees who supported peat tended to agree with the general logic of letting the market handle things.

The representation of the peat decline as a “market problem” was underlied by three central sets of assumptions and/or rationalities

(Question 2), each relating to their own conditions and historical developments (Questions 3 and 4). They are presented in turn below. After that, two alternative problem representations are discussed (Question 5) and the analysis is then concluded with a discussion on the effects on policy (Question 6).

5.1. Free competition and technological neutrality

First, the representation of the peat decline and the fuel shortage as a “market problem” depended on a neoliberal rationality which elevated free competition and “technological neutrality” (free competition between different technologies) to guiding principles. These principles provided the central logic behind the representation of the peat decline as a “market problem,” and were often referred to both implicitly and explicitly in the empirical material. The idea was that any measure that would favour particular technologies over others would distort competition, and that this would be a costly waste of resources:

Peat is an energy source that's competing in an open market against other sources, and now other sources have become more competitive. And it would be a waste of economic resources to try to artificially build competitiveness for individual energy sources. (...) So to try to slow down the decline of peat would just have been a waste of money in the end.⁴

Supporting particular technologies would not only be unfair to investors in other technologies, but it would also end up wasting society's resources. The quote also illustrates that there was an element of naturalization to this rationality, in the sense that state interventions were described as “artificial,” which implies that the market is a more “natural” state of affairs. It was even argued that it would be *impossible* in the long run to resist market forces, and therefore best to let them run their course:

It is simply a question of whether peat is competitive or not. And due to many factors, it's not very competitive. (...) So what is going to happen, is going to happen. We can't keep alive sectors which are not competitive.⁵

Rather than “picking winners,” the state should remain “technologically neutral” and let the market choose which technologies to invest in. Technological neutrality was not only invoked to argue against measures to support energy peat, but also against measures to support alternative sources of energy. There was already an investment support for new energy technologies in Finland, and electrical heating is subject to the lowest possible tax rate (to promote energy sector integration). These policies were typically considered acceptable, but further subsidies were deemed inappropriate. As a Director from Finnish Energy put it, “technological neutrality and a market approach, no subsidies. That's our main policy.”⁶

The history of this rationality stretches back to a neoliberal turn in Finnish governance that started in the 1980s, when experts and civil servants picked up and implemented neoliberal ideas from organizations such as the IMF, OECD, and the EU [47,48]. Consequently, Finland's financial markets were deregulated in the late 1980s, and the speculation that followed contributed to a severe recession. Nevertheless, the recession was used to promote further neoliberal reforms, such as the deregulation of the Finnish power market in the early 1990s. The logic was to expose society to competition, so that a more competitive Finland could emerge from the crisis [49,50]. Neoliberal ideas started to proliferate in Finland's energy policy discourse in the 1990s as well [51,52]. They were spread in the public media [53], but more importantly among

⁴ Interview 5, Chief Policy Adviser, Confederation of Finnish Industries.

⁵ Interview 14, Director General, Ministry of Economic Affairs and Employment.

⁶ Interview 9, Director, Finnish Energy.

the networks of experts, state actors, and industries that constitute Finland's "energy elite" [20]. Since then, the principles of free competition and technological neutrality have been firmly rooted in Finnish energy governance [21,51,54].

5.2. Carbon emissions and the ETS

A second set of assumptions concerned carbon emissions and the ETS. First, peat advocates have previously argued that peat could be classified as a renewable fuel [55], and thus exempted from the ETS. But almost all interviewees, including peat advocates, had come to believe that this was simply impossible, and also that national measures to counter the ETS would be incompatible with EU state aid regulation. This was considered to be a technical fact that could only be questioned due to ignorance. This can be confirmed by analysing the expert opinions on a parliamentary citizens' initiative [56] that was launched in January 2021.⁷ The citizens' initiative argued that peat use below the national rate of peat regeneration should be classified as renewable and sustainable. It lacked parliamentary support, but was sent out for expert opinions that were delivered in October 2022. The initiative was supported by Neova, the Association of Peat Producers, and a small peat company, but all other actors opposed it. State and business actors pointed out that classifying peat as renewable in Finland would be pointless as it would neither affect the IPCC's (Intergovernmental Panel on Climate Change) classification of peat, nor the ETS. Academic actors added that there were no scientific grounds for such a classification.

Moreover, even though the ETS is a massive state intervention, most interviewees and policy documents categorized it as a market-based measure that made it possible to mitigate climate change without distorting the market. The logic was that the ETS corrected a market failure by putting a price on an external cost. This is characteristic of neoliberalism, but also an expression of a high degree of climate awareness, and the ETS was supported by most interviewees both as an effective climate measure and as a market-based instrument. The ETS merged market logic and climate awareness by transforming the problem of carbon emissions into a problem of competitiveness, and many interviewees referred to emissions as an economic rather than environmental issue.

These assumptions can be traced back to a lost battle over classifying peat as renewable. In the beginning of the 2000s, peat advocates tried to frame peat as a "slowly renewable biomass fuel", arguing that the accumulation of carbon in Finnish peatlands was greater than the emissions from burning peat [57]. In 2008, Finland's centre-right government tried to get this definition accepted in the EU, which hypothetically could have made peat exempt from the ETS, but failed [58]. The 2000s also saw the IPCC classify peat emissions as comparable to those of fossil fuels [59], which concluded the issue once and for all:

In Finland, we tried to classify peat as a slowly renewable product, but then when the IPCC says that it is fossil, what we say here is not relevant. (...) We were in that battle, but it was lost. And I don't know, even if someone would say now that it is renewable, I don't think it would make any difference.⁸

Finland's lost battle over classifying peat as renewable made it seem unlikely that future efforts would fare any better, and interviewees cited it as proof of the impossibility of shielding peat from the ETS. Moreover, climate change has become a salient issue in Finland [60], and both public and elite support for peat has decreased in the years that followed its classification as a highly emitting fuel [61]. Accordingly, most interviewees saw peat as a high-carbon energy source, and the ETS as a welcome market-based measure to address its emissions.

5.3. Handling the fuel shortage

The third set of assumptions concerned the capacity of the energy system to handle the fuel shortage. Essentially, the situation was considered to be serious, but not acute enough to warrant market-distorting state measures. Many interviewees argued that the war and energy crisis had made energy security a core concern, but that the market and the energy companies were handling it well:

After the Russian ban of the export of woodchips to Finland, there was a turbulent market situation when suddenly one significant source went dead. And there has been a rise in [the prices of] wood fuels, affecting district heating prices and also being an energy security challenge to some extent. But the market is now adapting to it.⁹

In any case, the situation was best left to the market. There were concerns that the forest industry would suffer from increasing wood prices as more wood was burned for energy, that fossil imports would increase, and that the decline of energy peat would lead to a lack of bedding and horticultural peat.¹⁰ But in the end, scarcity would only translate into increased costs for companies and their customers, and that was regarded as an acceptable outcome, fully in line with the functioning of the market.

This depended on a set of material conditions. First, the mild winter of 2022/2023 reduced demand, and further energy savings were made due to increasing prices and the "down a degree" campaign that the state launched after the war. While energy prices increased as in the rest of Europe, the effect was less dramatic than expected, and most interviewees argued that the energy system was managing the situation relatively well. Second, many interviewees pointed out that it is fairly straightforward in terms of technology and investments to replace peat with wood fuels, and that even though peat is a significant source of energy, it would have been harder to replace sources that provide a larger share of Finland's energy supply. This made any physical scarcity seem unlikely. A shortage of fuels would in the end become a question about prices for consumers and industries, and many interviewees argued that this is precisely the kind of issue that is best to leave to the market.

5.4. Alternative problem representations

5.4.1. The peat decline as too abrupt

An alternative way of representing the "problem" of the peat decline was to frame it as so abrupt that it threatened energy security in times of war and crisis. As one interviewee put it: "There is that national security side, we need it at the moment. And at the moment, the world has become something that we aren't used to."¹¹ In addition to NESA's stockpiling, this called for removing the energy tax on peat to slow down the decline. This problem representation was reiterated by actors such as energy companies, peat producers, consultancies, and associations for forest industry and bioenergy. Many of these actors did, however, express the same assumptions about the ETS, peat emissions, and free competition that underlied the dominant problem representation, and these assumptions ruled out measures that would have a more significant impact on the decline.

This alternative way of representing the problem highlighted the repercussions of the peat decline. First, it was argued that the resulting fuel shortage would harm Finland's economy, especially since the

⁹ Interview 13, Deputy Director General, Ministry of Economic Affairs and Employment.

¹⁰ These forms of peat are often harvested from different layers within the same area, and it is less profitable to extract only bedding and horticultural peat.

¹¹ Interview 10, Senior Energy Adviser, Finnish Forest Industries.

⁷ See Appendix B for the expert opinions.

⁸ Interview 18, Director, Oulun Energia/Turveruukki.

decline coincided with the end of wood fuel imports from Russia. Many interviewees referred to a report from AFRY (a consultancy) which prognosticated a deficit of up to the equivalent of 5.7 TWh in 2023 [27]. Industrial quality roundwood would be burned for energy which would harm Finland's large and nationally important forest industry severely. Fossil fuel imports would also increase, the costs of which would be transferred to consumers and industries.

It was also argued that letting peat decline meant losing a strategically important fuel. Peat can be stored easier and longer than wood fuels, its main alternative, and this storability was emphasized:

Energy demand varies year to year depending on how cold it is. And with biomass, you cannot store that much of the fuel. So you are not prepared for any changes, like this stop of the imports from Russia. (...) But peat is quite okay to store.¹²

Moreover, the seasonal variations in wood supply do not coincide with those of peat, and many interviewees argued that this made peat an excellent complement to wood fuels. The strategic importance of a *domestic* fuel in times of war and energy crisis was also highlighted. If peat were left to decline, however, the equipment and know-how needed to extract it would be lost and Finland's energy security compromised. Several interviewees emphasized that harvesting bedding and horticultural peat would become less profitable if energy peat declined. This could lead to a shortage which would harm the farming and agricultural sectors and make Finland dependent on imported alternatives.

When the peat decline was problematized as being too abrupt, the point was rarely that peat should remain in the energy system forever. Even those who wanted to slow down the decline tended to say that peat should be phased out eventually due to its emissions and its inability to compete once these emissions had been priced in. Interviewees also emphasized that there was nothing that *could* be done for peat in the long run anyway now that it was no longer competitive. It was virtually impossible to do anything about the ETS, and national policies to counter it were too costly and would be stopped by the EU anyway.¹³ If there was a future for the peat industry, as many hoped, it would not revolve around energy but other products. However, energy peat was seen as necessary in the short term before the transition to other energy sources had come far enough:

We need to speed up the climate friendly investments on the heating side. But at the same time, for safety reasons, to keep the peat industry alive as long as needed. Because you should have the new solution ready before you ruin the previous one.¹⁴

One of few possible measures was to remove the energy tax on peat. The idea was that this would slow down the decline, thus giving peat and energy companies some "breathing space," as one interviewee put it.¹⁵ However, everyone agreed that the effect would be minor, considering the ETS. Many interviewees were critical of the tax increase in 2021, which was seen as a symbolic but harmful gesture from the Government:

The Finnish taxation for energy peat was increased from 3 to 5.7 Euro per megawatt hour. And of course, it is not a game changer. It has a very minimal effect compared to the ETS. But raising the price gave the wrong sign to this sector who is... No one is doing anything, even like replacing an old tractor tire.¹⁶

Removing the tax, on the other hand, would send an important signal

to peat producers that their work is important and that peat is needed in the short term, even if the economic effects would be marginal. But the main argument for removing the tax was that it would be a national decision that was not subject to EU regulations. In other words, removing the tax was one of very few measures that *could* be implemented. Changing or leaving the ETS was not considered as a serious option. It was simply impossible, and with that, the fate of peat as an energy source was ultimately sealed.

5.4.2. Beyond peat and neoliberalism

A second alternative problem representation rejected both the dominant neoliberal rationality and the notion that peat was necessary for energy security. It was only reiterated by a few interviewees from environmental NGO:s and academia, and to a limited extent in documents from the Green Party [63] and the Left Alliance [64]. They argued that energy security could be built around sustainable technologies already in the short term, such as heat pumps, improved energy efficiency, thermal energy storage, and renewables combined with energy sector integration. The problem was that these technologies were not deployed quickly enough, which precluded a truly sustainable transition away from combustion-based technologies. In lieu of policies that promoted sustainable alternatives, it was argued, peat would be replaced with wood fuels. These were cheap and accessible, and the investments required to replace peat with wood fuels comparatively small. The market would inevitably favour wood fuels as it was the cheapest short-term option, and this would reduce Finland's carbon sink and make it hard to reach its climate targets. This transition could also become locked in:

Many power plants are now in a situation where they have to make investments, and I don't think anything that's not based on combustion would be realistic within the next couple of years. And that's problematic (...). Because, of course, when you invest into some kind of technology now, you are expecting use that technology for the next couple of decades.¹⁷

To avoid this, proactive state measures were needed to accelerate the adoption of alternatives. This would, however, imply a degree of state leadership that was incompatible with neoliberal rationality and its emphasis on technological neutrality, and this rationality was explicitly questioned:

It is often said that we should be technologically neutral. (...) And it sounds really good, "let us be neutral." But it means that established technologies are the winners.¹⁸

As the status quo would benefit established technologies based on combustion, technological neutrality was an illusion, and the supposedly impartial order of the market was rejected.

5.5. How did the representation of the peat decline as a "market problem" affect policy?

So how did the representation of the peat decline and the fuel shortage as a "market problem" affect the legitimacy of different policies? Getting peat out of the ETS or implementing measures that would shield peat from it was widely regarded as inappropriate due to climate concerns and its status as a market-based instrument. In any case, it was considered impossible after the lost battle over classifying peat as renewable. While it would certainly be hard for Finland to do anything about the ETS, it is worth noting that defining this as *impossible* ruled out even attempting it.

A more contested measure was to remove the energy tax on peat. This was the measure that those who wanted to slow down the decline

¹² Interview 1, Head of Consulting, AFRY.

¹³ There were two exceptions. The True Finns Party [62] argued that Finland should leave the ETS, and the NESÄ argued that offsetting the costs of emissions allowances were necessary for preserving a peat supply chain and thereby energy security [28].

¹⁴ Interview 17, Director, Neova.

¹⁵ Interview 4, Expert, Chamber of Commerce.

¹⁶ Interview 2, Manager, Bioenergy Association of Finland.

¹⁷ Interview 22, Researcher, University of Lapland.

¹⁸ Interview 21, Professor, The Finnish Climate Change Panel.

advocated for most actively. But when the decline was represented as a “market problem,” it was ruled out. Removing the tax, the argument went, would have been a market-distorting subsidy. In line with the neoliberal rationality that dominates Finnish energy governance, this was considered self-evidently unfair and harmful. It was also argued that removing the tax would delay the transition to more long-term solutions. In fact, many interviewees argued that full technological neutrality would require *raising* the tax, as it was lower than other fuel taxes and “would be much higher if it would follow the general logic of the Finnish energy taxation of fuels.”¹⁹ The tax exemption for the first 10,000 MWh of peat used for heating was similarly regarded as a market-distorting subsidy. However, even those who argued that peat was unfairly subsidized via the tax system tended to see this as a minor problem, as the effects were almost insignificant compared to the ETS.

Measures that would steer the transition towards technologies that were not based on combustion, such as increased support for alternative technologies, were also ruled out as they were considered incompatible with technological neutrality.

There was one measure that was considered acceptable even though it affected the energy market. Almost all interviewees agreed that instructing NESAs to acquire a peat reserve was an appropriate response to the war and crisis, and it was supported by both the centre-left Marin government [65] and the right-wing Orpo Government that succeeded it [66]. The main reason was the perceived need for insurance against a worst-case scenario, which became urgent when the import of Russian wood chips ended. Moreover, this measure was portrayed as acceptable from a market perspective. Some interviewees argued that the effects on the energy market were negligible: “It doesn't affect really the market, but it helps if something very severe happens.”²⁰ Others meant that the effects were acceptable as there was a market failure to address:

We are now talking about addressing the tail risks that have a probability of less than one percent, and those are the risks that markets traditionally don't cover well enough. Societally, we want to be 100 percent sure that we have enough energy in case of emergency, whereas the market would only provide us with 99 percent. So that's the marginal part of the market that needs to be addressed with regard to other principles than just pure market optimization.²¹

Other than upholding “free” competition, addressing market failures is one of few tasks that warrants state intervention according to neoliberal economic thought. Thus, framing NESAs' reserve as correcting a market failure legitimized it by aligning it with neoliberal rationality. Moreover, Finland has a history of emphasizing security of supply and stockpiling that harks back to Finland's cold war doctrine of total defence [67]. One expression of this is the fact that Finland has a state agency dedicated to security of supply – the NESAs themselves. In sum, while removing the peat tax was too blatant a break with free competition, NESAs' stockpiling could be framed both as less of a distortion and as an insurance (albeit very limited) for energy security.

6. Discussion and conclusion

Surprisingly little has been written about how energy crises affect energy policy discourse, but the studies that do exist suggest that they can result in increased support for incumbent technologies [15], particularly if these technologies are perceived as domestic and the external environment as threatening or uncertain [16]. Finland's peat decline, however, shows that neoliberal rationalities can limit the ways in which established energy interests can invoke energy security to shape discourse and policy, even when they advocate for a domestic

source of energy in times of war and energy crisis. In this case, the dominant representation of the peat decline as a “market problem” ruled out measures that would favour peat, as such measures would distort free competition. The one measure that was taken to address energy security, NESAs' stockpile, was legitimized by representing it either as merely a minor break with neoliberal rationality, or as fully in line with it in the sense that it corrected a market failure. A less influential representation of the problem was that the decline was so abrupt that it threatened energy security during the crisis, which called for removing the peat tax to slow it down. But even those who wanted to slow down the decline tended to accept the market logic, the classification of peat as non-renewable, and the long-term necessity of phasing it out. The struggle concerned the short term and how the inevitable decline should be managed.

This resignation is a far cry from the discourse of peat advocates in 2010, when they argued that without peat, “the lights will go out, and the ‘homes’ of Finland will be forever cold”, or in 2017, when they framed peat as “a pile of gold” [55]. An important reason behind this shift was that getting peat out of the ETS was widely considered impossible after previous attempts had failed. Thus, when increased allowance prices eroded the competitiveness of peat, it became incompatible with the neoliberal rationality that has dominated Finnish energy policy since the 1990s. As peat combustion was already considered a high-carbon fuel in a climate-conscious country, it now runs counter to two of the most important principles in Finnish energy discourse. Considering Finland's dependency on Russian energy, the war in Finland's vicinity, and the energy crisis, it still comes off as surprising that neoliberalism prevailed and that peat – one of few domestic fuels – was allowed to decline. But reduced energy consumption and the substitutability of peat made an immediate physical scarcity seem unlikely to most actors, and high energy prices were seen as the kind of problem that markets are supposed to handle.

Despite their implications for energy politics, neoliberal rationalities remain a marginal topic in energy research (but see [38,68]). This suggests the need for a research agenda focused on how neoliberalism affects energy politics and transitions. Scholars from other fields than energy have shown that neoliberalism have become widespread since the 1990's [36,37], and it is therefore of limited interest to simply *identify* its presence within energy governance. But questions remain about *how* neoliberalism affects energy politics specifically. This article illustrates that neoliberalism lends itself well to oppose measures that “artificially” increase the competitiveness of particular energy technologies, which suggest that it can work against incumbent technologies in decline. But as Lehtonen [69] points out, the vagueness and flexibility of notions such as state support and subsidies make it possible for incumbent interests to use them strategically and opportunistically, and neoliberalism has indeed been leveraged by incumbents to gain political support and resist phaseouts before, e.g. by the nuclear industries in Russia and Poland [70]. One strategy has been to threaten to close down vital power plants more abruptly than the power system can manage, unless support is granted [4,71]. Neoliberalism can facilitate this by stipulating that the state cannot interfere with such “commercial” decisions, even if they would threaten energy supply [4]. In other words, neoliberalism can be leveraged to support even declining technologies. Pertinent questions for a research agenda on neoliberalism, energy politics, and energy transitions are thus how and why particular versions of what a free energy market entails becomes accepted, what it is that determines if neoliberal rationalities favours or disadvantages incumbent technologies in decline, and how neoliberal rationalities affect energy politics and transitions. Another important question is how neoliberalism affects local communities and workers in the midst of energy transitions. As it is hard to think of any redistributive measures that does not, from a neoliberal perspective, distort the market, a hypothesis for further research is that neoliberalism impedes policies that could mitigate the social and justice-related consequences of phasing out fossil fuels. Moreover, when renewable energy technologies are diffused

¹⁹ Interview 13, Deputy Director General, Ministry of Economic Affairs and Employment.

²⁰ Interview 9, Director, Finnish Energy.

²¹ Interview 5, Chief Policy Adviser, Confederation of Finnish Industries.

and operated under neoliberalism, social and environmental considerations become secondary to competition [72], and this raises the question of how neoliberalism shapes the impact of new “green” infrastructures. More case studies could contribute with depth and detail, but cross-case comparison is necessary for providing a broader understanding of these questions [43].

Another timely item on such an agenda would be the interaction between neoliberalism, energy security, and energy crises. While the Finnish case shows that neoliberalism can limit the political effects of energy security discourse even during wars and energy crises, it is possible that an ever deeper crisis would have increased support for more security-oriented politics, as suggested by developments in other cases [9,16]. Energy crises can also challenge neoliberal state-market relations in a more fundamental way, and it is presently unclear whether or not the current crisis will usher in a lasting “return of the state” in energy politics [14]. Moreover, the ambiguity and malleability of market arguments can allow them, paradoxically, to be aligned with energy security narratives that calls for state interventions [73]. It is thus unclear how neoliberalism interacts with energy security and crises and how this affects politics, and these are also pertinent questions for a research agenda on neoliberalism and energy transitions. More case studies, comparison, and theoretical development are needed for us to understand more precisely how these factors interact. Why is it, for example, that Finland allowed peat to decline while Germany responded to the war with (market-distorting) measures to delay its coal phaseout?

Finally, the case of Finland shows that neoliberalism can work against incumbents who are already in decline, but also that it may favour unsustainable transition pathways, as market actors turn to the cheapest alternatives to maximize profits. As Finland's carbon sink has recently turned out to be much lesser than previously expected [74], it looks increasingly difficult to increase the reliance on wood fuels without jeopardizing Finland's climate targets. Yet, barring further policies, most energy peat will be replaced with wood fuels, as existing path dependencies favour combustion-based technologies [75]. This suggests that more active state measures are needed to steer the transition towards sustainable technologies, as also pointed out by critical voices in the empirical material. The dominance of neoliberalism made this a marginalized position in Finnish energy policy discourse at the time of the study, but a more active role for the state has quickly become a reality in other contexts, as illustrated for example by the massive support to clean energy introduced with USA's Inflation Reduction Act, or the resurgence of state coordination in the UK power sector, which was once a global blueprint for neoliberal restructuring [76]. As the literature on neoliberalism suggests [34], ideas about the proper relation between the state and the market are subject to contestation and change, and there is nothing “natural” or “neutral” about their current configuration in Finland or elsewhere. A research agenda on neoliberalism and energy transitions could shed light on assumptions and rationalities about state-market relations that tend to be taken for granted despite their importance for energy politics. By turning to cases where the dominance of neoliberalism has been disrupted, research could show how it can be challenged and replaced, and open up for proposing alternative transition pathways.

CRediT authorship contribution statement

Hugo Faber: Writing – review & editing, Writing – original draft, Validation, Supervision, Software, Resources, Project administration, Methodology, Investigation, Formal analysis, Data curation, Conceptualization.

Declaration of competing interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

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Appendix A. Interviewees

1. AFRY, Head of Consulting
2. Bioenergy Association of Finland, Manager
3. Bioenergy Association of Finland, Managing Director
4. Chamber of Commerce, Expert
5. Confederation of Finnish Industries, Chief Policy Adviser
6. Finnish Association for Nature Conservation, Policy Officer
7. Finnish Association of Machine Entrepreneurs, Director
8. Finnish Clean Energy Association, Director
9. Finnish Energy, Director
10. Finnish Forest Industries, Senior Energy Adviser
11. Kuopion Energia, (two interviewees) Managing Director and Director
12. Ministry of Agriculture and Forestry, Senior Specialist
13. Ministry of Economic Affairs and Employment, Deputy Director General
14. Ministry of Economic Affairs and Employment, Director General
15. Ministry of Economic Affairs and Employment, Senior Specialist
16. Ministry of Economic Affairs and Employment, Ministerial Advisor
17. Neova, Director
18. Oulun Energia/Turveruukki, Director
19. Regional Council of Eastern Finland, former Development Manager
20. The Finnish Association of Peat Producers, spokesperson
21. The Finnish Climate Change Panel, Professor
22. University of Lapland, Researcher, PhD

Appendix B. Policy documents

See reference list for documents referred to in text.

Party documents

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Swedish People's Party. 2023. Hållbar Energi Skapar Valfärd - SFP:s Energipolitiska Program. https://sfp.fi/wp-content/uploads/2023/03/Energipolitiskt-program_LR.pdf.

Expert opinions on citizen's initiative

Expert opinions are collected here: www.eduskunta.fi/FI/vaski/KasittelytiedotValtiopaivaasia/Sivut/KA7+2021_asiantuntijalausunnnot.aspx. Opinions from the following organizations have been analysed:

- Ministry of the Environment
- Pohjanmaan Biolämpö Oy
- Finnish Meteorological Institute
- Natural Resources Institute Finland
- The Finnish Climate Change Panel

- Ministry of Economic Affairs and Employment
- Neova
- Finnish Nature Panel
- Ministry of Agriculture and Forestry
- Finnish Energy
- The Bioenergy Association of Finland
- Confederation of Agricultural and Forestry Producers (MTK)
- Finnish Energy Agency
- Finnish Peat Producers Association
- LUT University
- NESA

Data availability

Two types of data were used. First, policy documents, which are publicly available (see reference list and Appendix B). Second, interviews, which cannot be shared for reasons of confidentiality.

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